00022

Sri Lanka Institute of Information Technology

B. Sc. Honours Degree in Information Technology
Specializing in Information Technology

Final Examination
Year 4, Semester II (2022)

IT4050 - Innovation Management and Entrepreneurship

Duration: 2 Hours

November 2022

Instructions to Candidates:

- This paper has Four (4) questions. Answer all questions.
- Write down the answers ONLY in the answer booklets provided.
- Total Marks 100 (This paper counts for 70% of Module Marks).
- Read all questions before you start answering.
- This paper contains 3 pages with the Cover Page.

Question 1: Innovation management (25 marks)

I. Assess how innovation helps businesses to increase *customer retention* and *competitiveness*.

(4 Marks)

II. Write an essay on an "Entrepreneurial Opportunity".

(6 marks)

III. Assume you have been appointed as an innovation officer of a company in a highly competitive business environment. Explain how you can motivate the company employees to be more creative to establish an innovative culture in the company.

(6 marks)

IV. You have been asked to develop a mobile application to identify kids with malnutrition. This software will be given to family health nurses (midwives) attached to the offices of the Medical Officer of Health (MOH). Explain at least three (03) *creative idea-generation techniques* you can use in the development process of this software. Also, explain how you use them.

(9 marks)

Question 2: Entrepreneur and Entrepreneurship (25 Marks)

I. Sri Lanka is currently facing many challenges leading to the economic crisis in the country. Reducing imports due to foreign exchange issues, trying to increase exports to earn more foreign exchange, finding alternatives to reduce food prices, and reducing food shortages are a few of them. Identify three types of entrepreneurs who can help current situations by identifying problems as good opportunities. Justify your answer.

(9 Marks)

II. *"Entrepreneurship is the pursuit of opportunity* ***beyond resources controlled****"*

– Professor Howard Stevenson

Explain different funding sources available for entrepreneurs at the initial stage of the business. What are the steps an entrepreneur can take to attract more funding?

(4 marks)

III. Highlight the differences between a wage employee and an entrepreneur.

(4 marks)

IV. Describe what you believe as essential skills that are required to be an entrepreneur. If a person misses a few of them, can he/she still be an entrepreneur? Justify your answer.

(4 marks)

V. Differentiate entrepreneurship from regular employment. Can you be an entrepreneur by being an employee? Give reasons for your answer.

(4 Marks)

Question 3:Value Proposition and Business Model Canvas (25 Marks)

I. *Pick Me is a smartphone app that provides on-demand service to users. It connects willing passengers to taxi (a cab or a three-wheeler) drivers. Taxi drivers use their own cars when providing taxi service and Pick Me gets 10% of the fare. The total process is very simple, registered Pick Me users ask for a taxi using the Pick Me app, and a Pick Me driver is then dispatched to the passenger's location and assists the passenger to reach his destination. The passenger's credit card is used as the sole payment method. Currently, this service is available in 100 cities across the country. Pick Me is not any traditional taxi business because it doesn't employ any taxi drivers or own any taxis. Pick Me basically connects the passenger and taxi driver and takes a percentage of the fee from the fare. In addition to normal partners such as bankers and service providers, Pick Me partners with restaurants to provide delivery services to Pick Me app users, charging a delivery fee.*

Prepare Business Model Canvas (BMC) for *Pick Me* using the above information. You can use any valid assumptions and your knowledge about *Pick Me* to prepare the BMC.

(14 marks)

II. Describe the benefits to a new entrepreneur by preparing a Value Proposition Canvas (VPC). (Hint: Consider sections of VPC)

(3 marks)

III. What does it mean by "Validating VPC"? Describe the benefits of it and methods that can be used for validation.

(6 marks)

IV. What does it mean by "Customer-centric Design"?

(2 marks)

Question 4: Business Plan 25 Marks

I. List five main sections that have to be included in the business plan. Describe the purpose and importance of having each section in the business plan.

(5 marks)

II. Give a brief description of how a cash flow statement and cash budget are prepared for a business. Give justifications as to why these two documents must be included in a Business Plan.

(7 marks)

III. Write short notes on two (02) topics from the list of topics given below.

a. Stages of a start-up
b. Customer factory model
c. Business accelerators
d. Google Analytics

(6 marks)

IV. What are the essential points that should be included in a Pitch Deck? Why those points are important. Justify your answer.

(7 marks)

End of the Examination Paper